

Minnow, a level of ownership that isn't even permissible under Federal law. If Nimble's portfolio manager still wants to own small stocks, he will have to spread his money over vastly more companies—and probably end up spreading his attention too thin.

No more fancy footwork. Some companies specialize in “incubating” their funds—test-driving them privately before selling them publicly. (Typically, the only shareholders are employees and affiliates of the fund company itself.) By keeping them tiny, the sponsor can use these incubated funds as guinea pigs for risky strategies that work best with small sums of money, like buying truly tiny stocks or rapid-fire trading of initial public offerings. If its strategy succeeds, the fund can lure public investors en masse by publicizing its private returns. In other cases, the fund manager “waives” (or skips charging) management fees, raising the net return—then slaps the fees on later after the high returns attract plenty of customers. Almost without exception, the returns of incubated and fee-waived funds have faded into mediocrity after outside investors poured millions of dollars into them.

Rising expenses. It often costs more to trade stocks in very large blocks than in small ones; with fewer buyers and sellers, it's harder to make a match. A fund with \$100 million in assets might pay 1% a year in trading costs. But, if high returns send the fund mushrooming up to \$10 billion, its trades could easily eat up at least 2% of those assets. The typical fund holds on to its stocks for only 11 months at a time, so trading costs eat away at returns like a corrosive acid. Meanwhile, the other costs of running a fund rarely fall—and sometimes even rise—as assets grow. With operating expenses averaging 1.5%, and trading costs at around 2%, the typical fund has to beat the market by 3.5 percentage points per year before costs just to match it after costs!

Sheepish behavior. Finally, once a fund becomes successful, its managers tend to become timid and imitative. As a fund grows, its fees become more lucrative—making its managers reluctant to rock the boat. The very risks that the managers took to generate their initial high returns could now drive investors away—and jeopardize all that fat fee income. So the biggest funds resemble a herd of identical and overfed sheep, all moving in sluggish lockstep, all saying “baaaa” at the same time. Nearly every growth fund owns Cisco and GE and Microsoft and Pfizer and Wal-Mart—and in almost identical proportions. This behavior is so prevalent that